

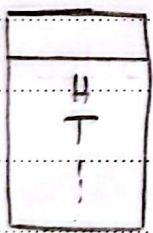
Day 7

\* alternative : ① larger  
② smaller  
③ Two-sided

① larger example:-

$$H_0: p = 0.5$$

$$H_1: p > 0.5$$



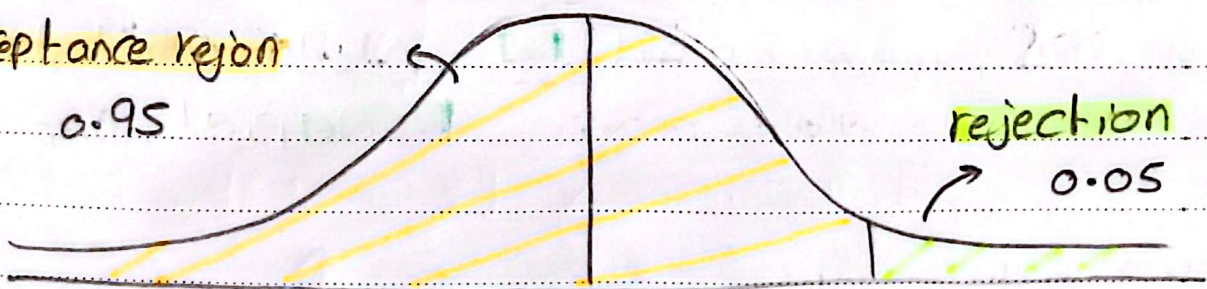
$$P(H) = 0.53$$

↓  
p-value

statistically  
significance

acceptance region

0.95



$$\mu = p = 0.5$$

$$z_{\text{critical}} = 1.64$$

$$\frac{\bar{p} - p}{\text{S.E}} = \frac{0.53 - 0.5}{\sqrt{0.5(1-0.5)}} = \frac{0.03}{\sqrt{0.25}} = \frac{0.03}{0.5} = 0.06$$

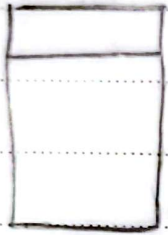
← n

z-value > z-critical  
→ reject  $H_0$

## ② smaller example :-

$$H_0 : p = 0.5$$

$$H_1 : p < 0.5$$

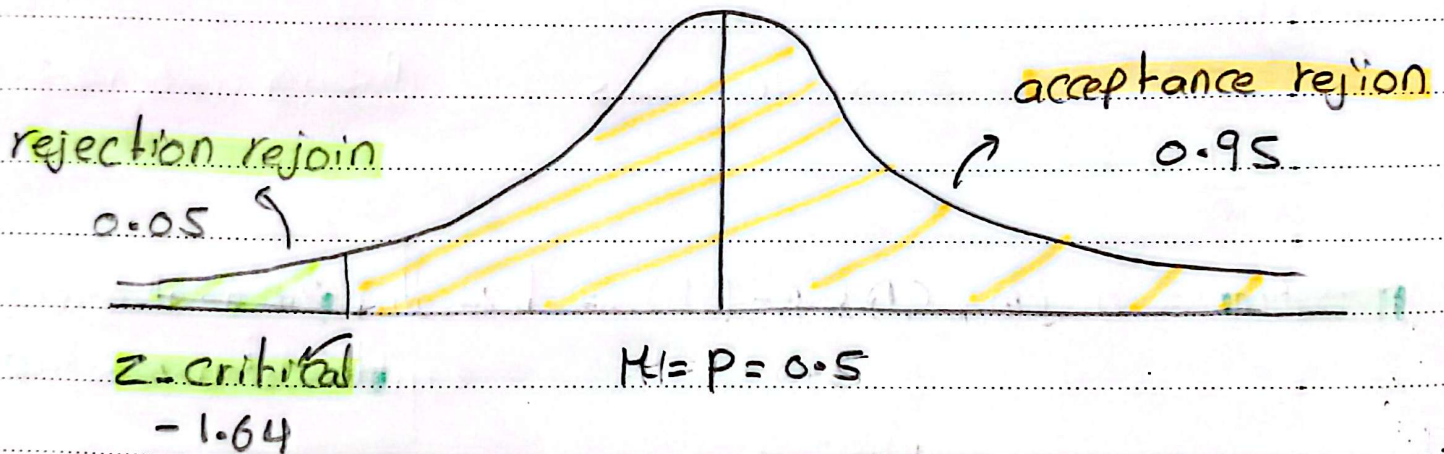


$$\rightarrow p(H) = 0.47$$



p-value

statistically  
significance



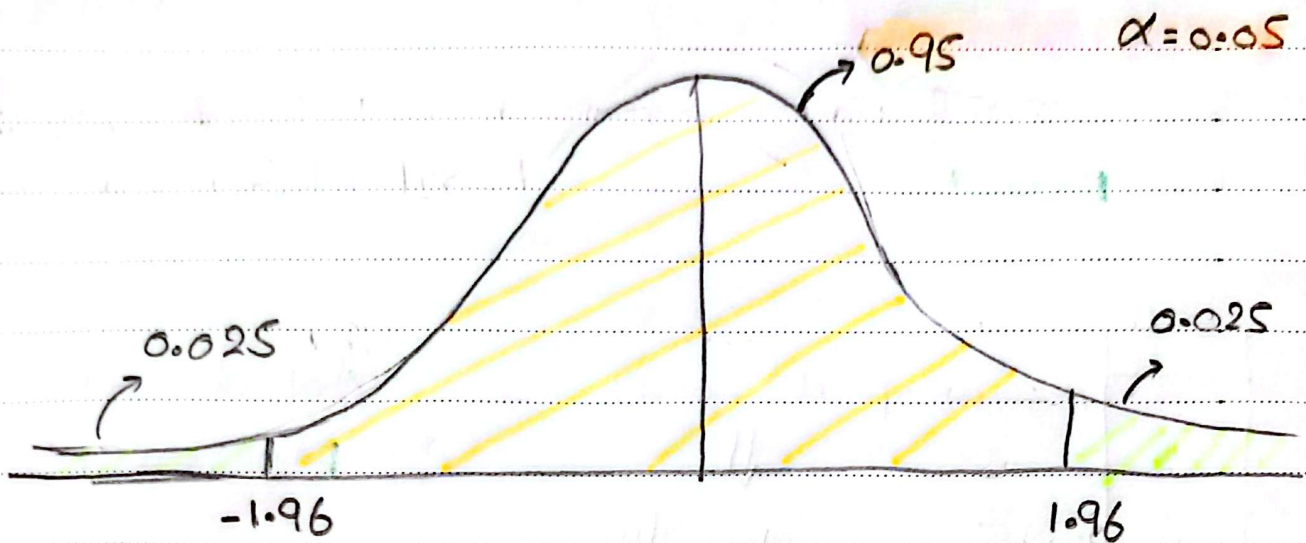
$$\frac{0.47 - 0.5}{S.E} = \frac{-0.03}{\sqrt{0.5(1-0.5)}} = -1.8 < z\text{-critical} \rightarrow \text{reject } H_0$$

## ③ Two-sided example :

$$H_0 : p = 0.5$$

$$H_1 : p \neq 0.5 \quad \text{سواء الجبر أو اقل من}$$





$$\frac{0.55 - 0.5}{\sqrt{\frac{0.5(1-0.5)}{n}}} = Z\text{-score} \rightarrow \text{بخط يمين و شمال}$$

$$p\text{-value} = \text{norm.CDF}(-\square) = \square$$

بطرف القيمة \* 2  
عشانه يمين أو شمال

$$* CI: 0.5 \pm 1.96 \sqrt{\frac{0.5(1-0.5)}{1000}} \quad \%95$$

$$[0.46 \text{ و } 0.53] \leftarrow \text{الـ } \mu \text{ موجود في الـ interval ديب}$$

لو اننا حسبنا CI بنسب 95% دا هتكون معناه ان لو  $\alpha = 0.05$  فاني رقم هيطلع منه sample برا الـ CI لجر. reject  $H_0$

### Mean example:-

$\mu \rightarrow M$  z-test حسس يكون عارف ان حاجه عنه ان pop ف ال  
 من يرفع ف يستخدم ال t-test

$M = 20$  min modification  $\rightarrow$  وعابرة اسوف ما هيرود الوقت ولا

$$H_0 : M = 20$$

$$H_1 : M > 20$$

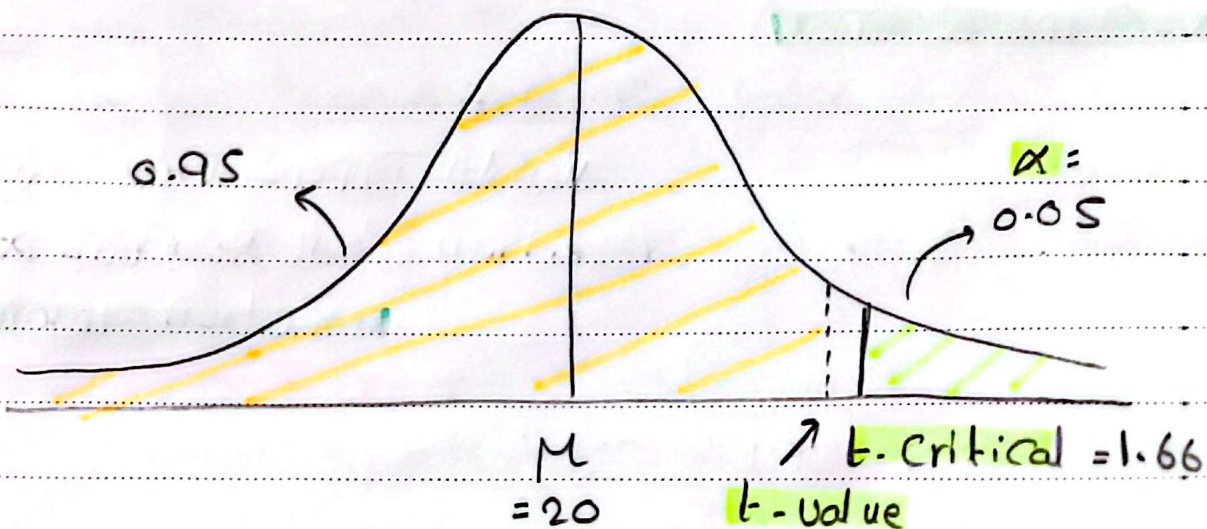
$$\alpha = 0.05$$

$$n = 100$$

$$\bar{x} = 21 \text{ min}$$

$$t\text{-value} = \frac{\bar{x} - \mu}{S.E} = \frac{\bar{x} - \mu}{S/\sqrt{n}} = \frac{21 - 20}{6/\sqrt{100}} = 1.6$$

$$t\text{-critical} = \text{norm.ppf}(0.95, \underset{\text{dof}}{99}) = 1.66$$



$$p\text{-value} = t.\text{cdf}(1.6) = 0.056 > 0.05$$

(Not reject  $H_0$ )



## Type II error



Type II error  $\rightarrow$   $H_0$  وهي تكونه صحيح  
 (المقدرة على اكتشافها)  $1 - B$

كل ما يقل  $\alpha$  يزيد  $B$  الى ممكنه  
 تطلع فيها فير معلاش reject لذلك  $B$  بيزيد

\* in general :-  $\alpha \uparrow \rightarrow$  Type I  $\uparrow$   
 Type II  $\downarrow$   
 $\alpha \downarrow \rightarrow$  Type I  $\downarrow$   
 Type II  $\uparrow$

فهي بتكون Trade off على حسب الاولوية أو أي اهم في ال Case بتاني

$B \rightarrow$  cannot reject  $H_0$  | False  
 $(1 - B) \rightarrow$  power of the test  
 $\downarrow$  Can reject  $H_0$  | False

أنا بكونه عايزة ايجز ال  $(1 - B)$  ليس مكبرش ال  $\alpha$  في نفس الوقت

Sample size  $n \uparrow$  ,  $\alpha \uparrow \rightarrow (1 - B) \uparrow$   
 $\uparrow$  ثابت

لان كل ما بيزد  $n$  كل ما بقوب منه ال Pop عتانه كذا النتائج كلها  
 بتكون احسن



\* example: water quality and water quality acceptable  
 $H_0$ : water quality acceptable  
 $H_1$ : " " not "

Reject  $H_0$  | True Type I error (risk)  
 Not reject  $H_0$  | False Type II error

في الحالة دي أنا الاله بالسبب انه ال water quality تكون كويس  
 و مش مشكلة لو علت reject و قفلت و هو سليم بي اهو حاجه  
 حسيوس و هو في مشكل ← دهته Type II error

$$\alpha = 0.1$$

$$\alpha = 0.05$$

$$\alpha = 0.01$$

او ضل حل هو اني اقبض  $\alpha$  كبيره عشان اقل rejection بيكون و اقل  
 ال Type II

\* example: innocent and guilty and innocent

$H_0$ : innocent

$H_1$ : not innocent

Reject  $H_0$  | True (risk)  
 Not reject  $H_1$  | False

هنا الاله هو ال Type I لان لو علت reject  $H_0$  و هو بريء  
 كذا ممكن اخقو بقوي

$\alpha = 0.1$

$\alpha = 0.05$

$\alpha = 0.01$



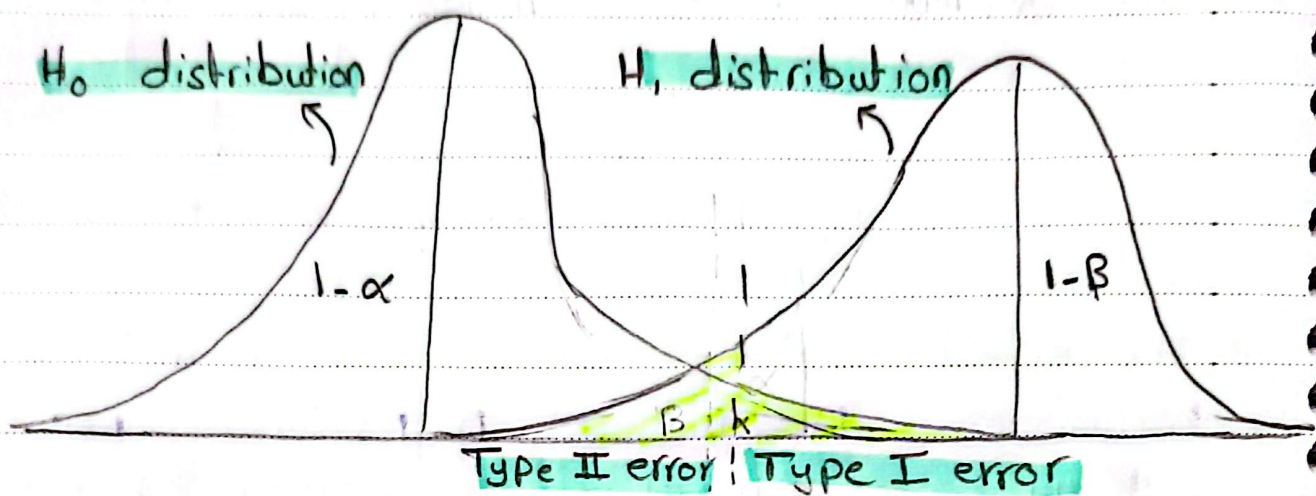
هنا يختار  $\alpha$  عتبه اقصى ال rejection

\* The effect of the sample size  $n$ : Fair

| observations | expectations | n   | P-value | $\alpha = 0.05$ |
|--------------|--------------|-----|---------|-----------------|
| 6 H, 4 T     | 5 H, 5 T     | 10  | 0.7539  | $H_0$ not rej   |
| 12 H, 8 T    | 10 H, 10 T   | 20  | 0.5034  | " " "           |
| 18 H, 12 T   | 15 H, 15 T   | 30  | 0.3616  | " " "           |
| 60 H, 40 T   | 50 H, 50 T   | 100 | 0.0569  | " " "           |
| 150 H, 100 T | 125 H, 125 T | 250 | 0.0019  | $H_0$ reject    |

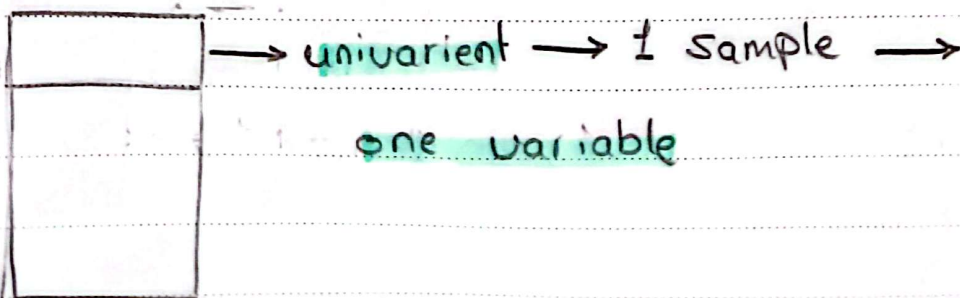
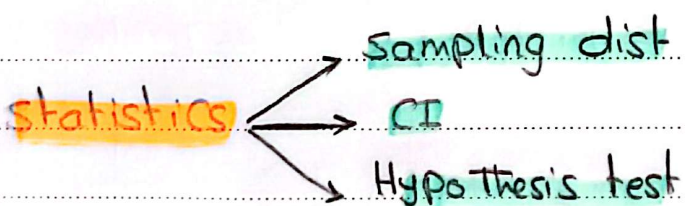
كل ما يزيد ال  $n$  كلما النتائج بتغير ادفه واضرب وال error يبق





- كل ما ال prob تكون اقل منه  $\alpha$  يتكون اقرن لـ  $H_0$  distrib. وأبعد عنه ال  $H_1$  distrib.
- والعكس صحيح كل ما ال prob تكون اقل منه  $\alpha$  يتكون اقرن لـ  $H_1$  وأبعد عنه ال  $H_0$ .
- ويحدد احتمال الخط أو ال  $\alpha$  على حسب ايه الاولوية علية

\* more than 1 sample:-



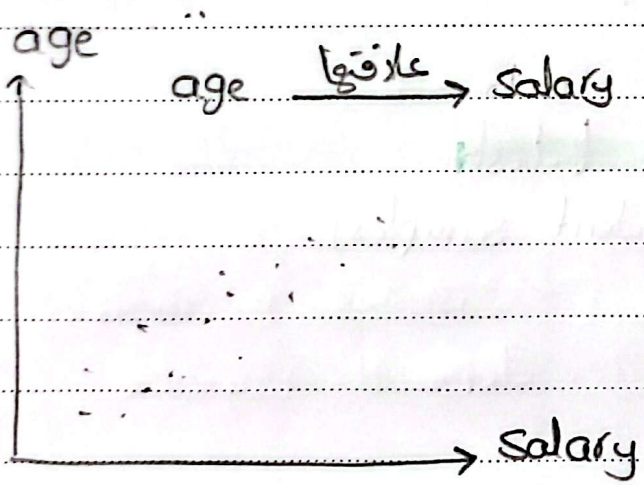
Model prediction

regression

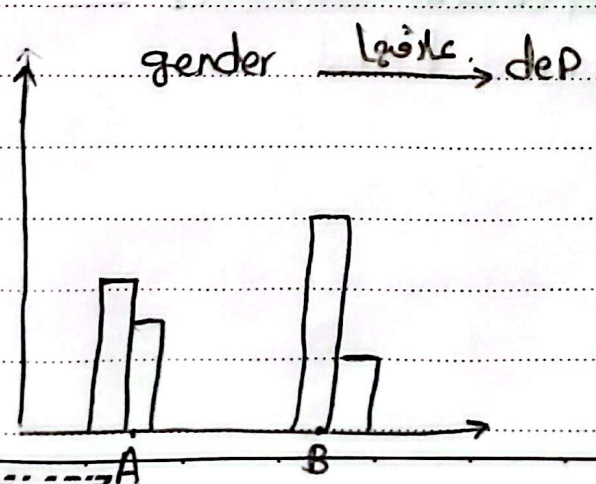
classification

| Age | gender | dep | ..... | Salary | marital status |
|-----|--------|-----|-------|--------|----------------|
|     |        |     |       |        | Yes<br>No      |
|     |        |     |       |        |                |
|     |        |     |       |        |                |
|     |        |     |       |        |                |
|     |        |     |       |        |                |

يكونه عايرة الحرف الـ var الى هذه contribute أكثر حاج في الـ prediction



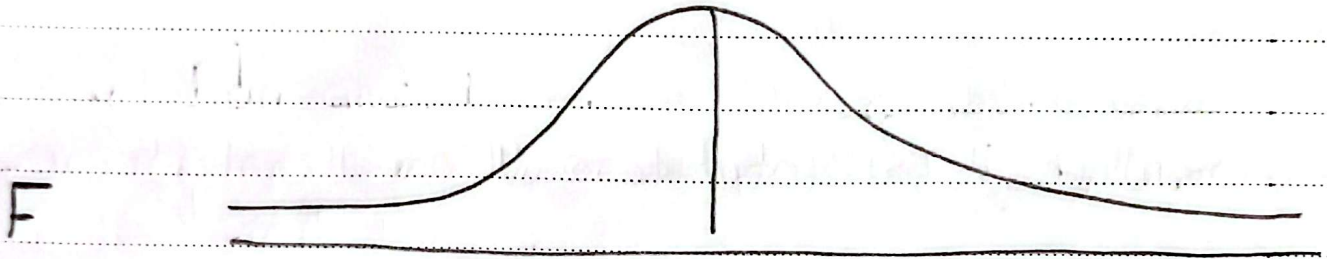
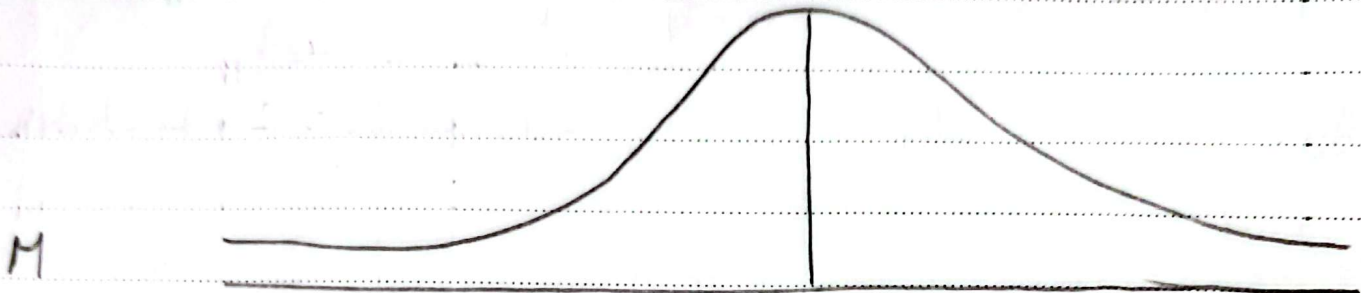
2 Continuous → correlation  
→ significant? CI  
H<sub>0</sub>



$P_M, P_F$  → 2 sample proportion test  
→ significant? 2 sample z-test

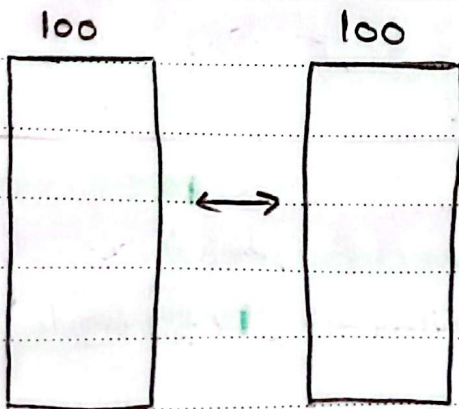


gender  $\xrightarrow{\text{علاقته}}$  salary  $\rightarrow$  grouping by salary



$\mu_M - \mu_F$  compare  $\rightarrow$  2 sample t-test  
(independent samples)

Salary  $\xrightarrow[\text{وقت مختلف}]{\text{علاقتهم في}}$  Salary



dependent samples  $\rightarrow$   
paired t-test

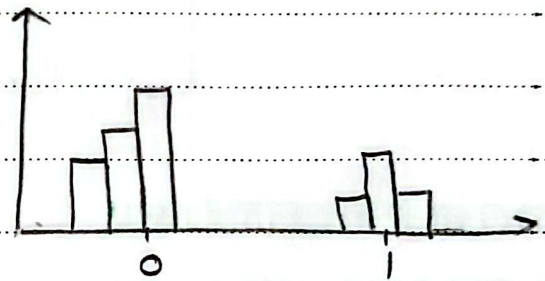
Titanic survival analysis  
p-class  $\xrightarrow{\text{بازگه}}$  survived

| p-class | survived |
|---------|----------|
| 1       | 1        |
| 2       | 0        |
| 3       | ...      |

$\nearrow$   
categorical

$$P_1 \neq P_2 \neq P_3$$

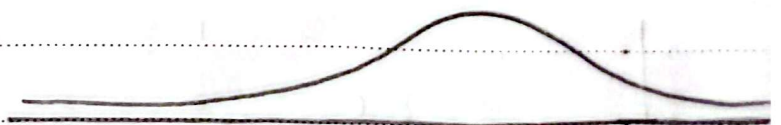
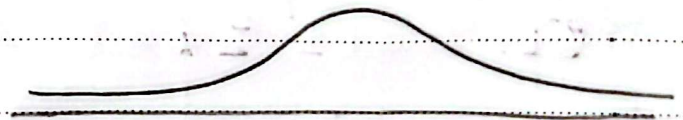
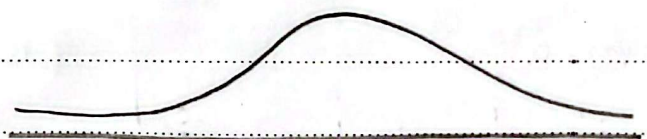
- Compare 2 Proportion  
extend z-test  $\rightarrow$  Chi Square test



dep  $\xrightarrow{\text{بازگه}}$  salary

| dep | salary |
|-----|--------|
|     |        |
|     |        |
|     |        |

dep grouping by  $\rightarrow$  salary



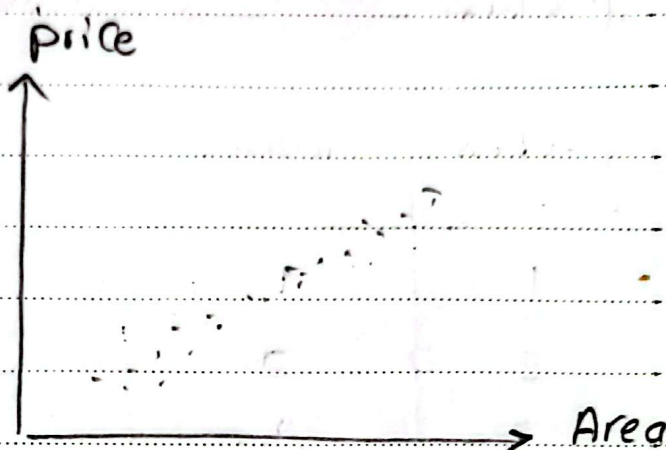
- Compare 2 means

$\rightarrow$  ANOVA



Area  $\xrightarrow{\text{علاقة}}$  price

| Area | price |
|------|-------|
|      |       |
|      |       |
|      |       |

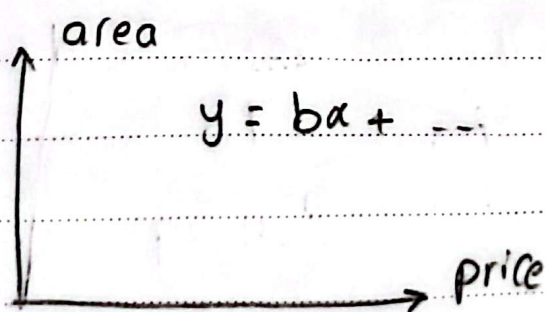


- Correlation analysis  $\longrightarrow$  يستوف في علاق بينهم ولا لا
- regression "  $\longrightarrow$  مقدار الزيادة أو النقصان بينهم  
 $\downarrow$  single var

العلاقة بين أكثر من متغير واحد price

| Area |  |  | price |
|------|--|--|-------|
|      |  |  |       |
|      |  |  |       |
|      |  |  |       |

regression analysis  
multi variable



$$y = bx + \dots$$

coefficient  $\longrightarrow$   
statistically  
significant

|             |   |                |
|-------------|---|----------------|
| z-test      | → | z-dist         |
| t-test      | → | t-dist         |
| Chi-test    | → | Chi-dist       |
| ANOVA test  | → | F-dist         |
| Correlation | → | F-dist         |
| regression  | → | F-dist, t-dist |

P-value <  $\alpha$  ?

### \* Comparing proportions:

check election process M/F

| gender | vote |
|--------|------|
|        |      |
|        |      |
|        |      |

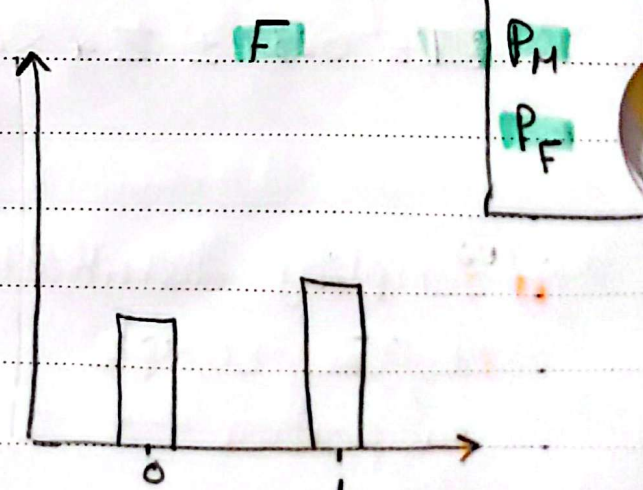
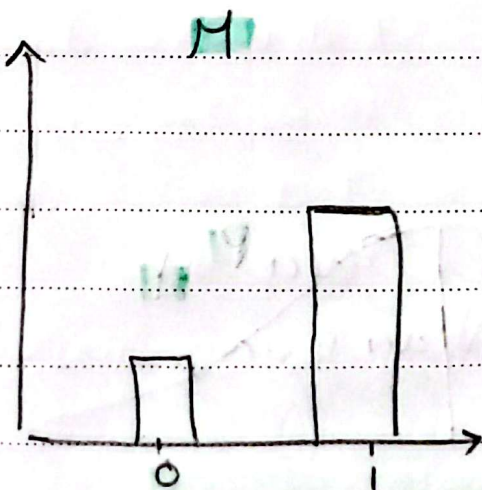
1000

600 M

400 F

حسب ال proportion  
ن فارق، لا و نو قد يوصف

$$P_F = \frac{\text{\# of votes}}{\text{Total Female}}$$





ليكون عايزين نعرف في فرق في ال proportion ولا لا لان لو في فرق هيكون

gender  $\xrightarrow{\text{بيان}} \text{vote}$

\*example:.

$n=2000$

| G | V |
|---|---|
|   |   |
|   |   |
|   |   |

$$n_F = 1000$$

$$580 \text{ V}$$

$$n_M = 1000$$

$$650 \text{ V}$$

bernoulli

$$P_M = 0.65$$

$$Z_M^2 = P_M(1 - P_M)$$

bernoulli

$$P_F = 0.58$$

$$Z_F^2 = P_F(1 - P_F)$$

$$P_M - P_F \Rightarrow P_{diff} = 0.65 - 0.58 = 0.07$$

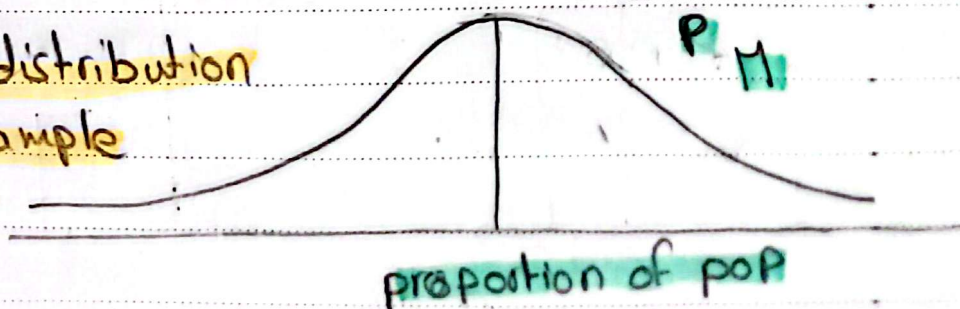
عابرة الفرق ال diff CI = [ ]

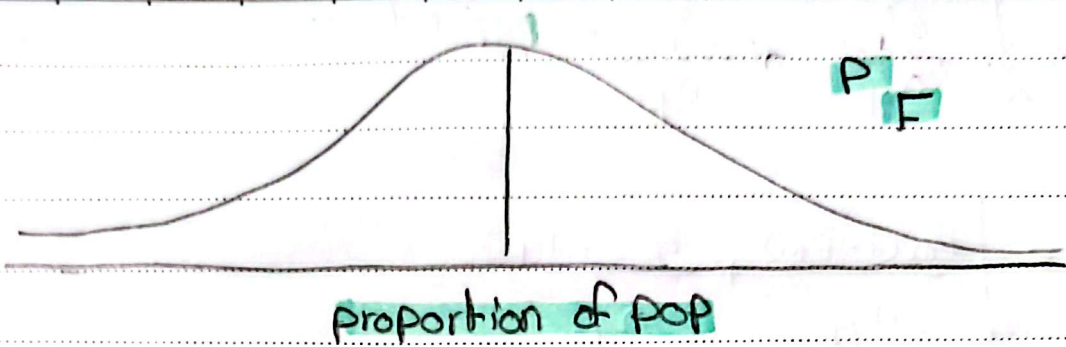
$$CI = 95\%$$

$$CI = 0.07 \pm Z * S.E$$

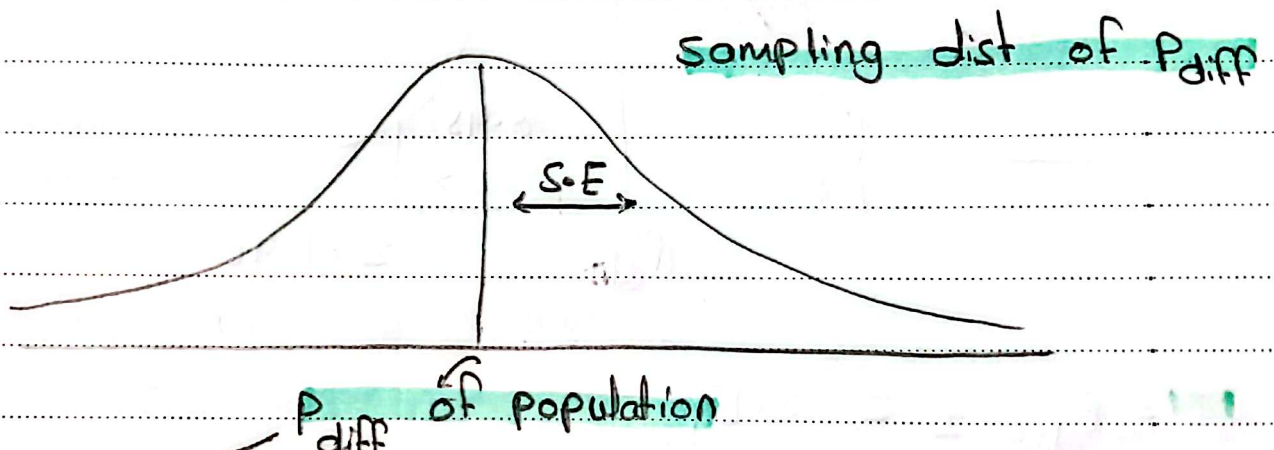
$\rightarrow P_{diff}$

- Sampling distribution of The sample proportion





$$P_{diff} = P_M - P_F$$



$$M = M_1 - M_2$$

$$P_{diff} = P_M - P_F$$

$$\sigma^2 = \sigma_1^2 + \sigma_2^2$$

$$\sigma_{diff}^2 = \sigma_{PM}^2 + \sigma_{PF}^2$$

$$S.E. = \sqrt{\sigma_{PM}^2 + \sigma_{PF}^2}$$

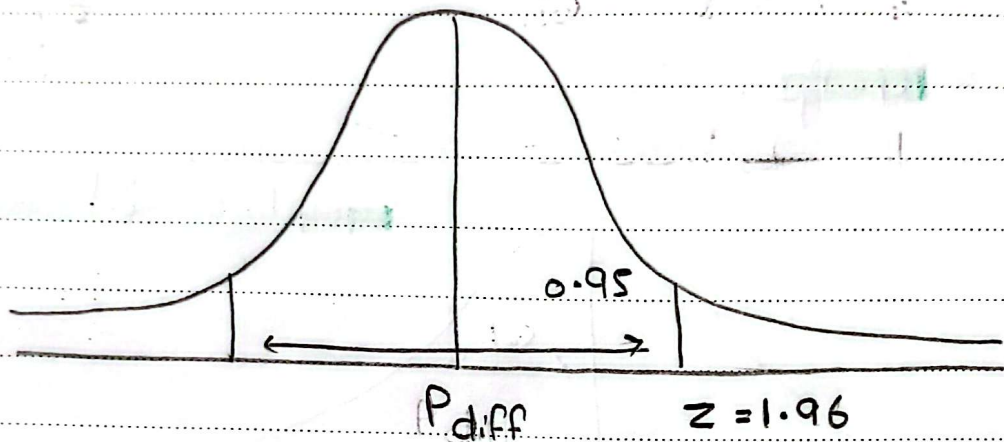
sample dist

2 Normal dist لما بنطرح  
منه بوجوه ← فوايد



$$S.E = \sqrt{\frac{z_{PM}^2}{n_M} + \frac{z_{PF}^2}{n_F}} \rightarrow \text{population}$$

$$S.E = \sqrt{\frac{P_M(1-P_M)}{n_M} + \frac{P_F(1-P_F)}{n_F}}$$



$$CI = P_{diff} \pm z \cdot S.E_{diff}$$

$$CI = 0.07 \pm 1.96 \sqrt{\frac{0.65(1-0.65)}{1000} + \frac{0.58(1-0.58)}{1000}}$$

$$CI = [0.027, 0.113]$$

هل هناك فرق بين  $CI$  فيه كافي، اقول إنه في Significant difference between the two proportions? reject  $H_0$

لأنه مفيه 0 في ال interval

$H_0$ : No difference  $P_{diff} = 0$

$H_1$ :  $P_{diff} \neq 0$

Hypothesis test  $\rightarrow$  P-value

$$z \text{ or } t \text{ score} = \frac{(\bar{M}_1 - \bar{P}_1 - \bar{M}_2 - \bar{P}_2)}{\sqrt{\sigma^2_{\bar{P}_1} + \sigma^2_{\bar{P}_2}}} = \frac{0.07 - 0}{0.0217} = 3.225$$

P-value  
(z-table)

$\downarrow$   
z-score >  
z-critical  
(1.96)

P-value = 0.00126 < 0.05

reject  $H_0 \rightarrow$  there is a difference

t-score  $\rightarrow$  dof =  $n_1 + n_2 - 2$

Hypothesis test  $\rightarrow$  if there is a difference

CI  $\rightarrow$  amount of diff

\* Comparing means:-

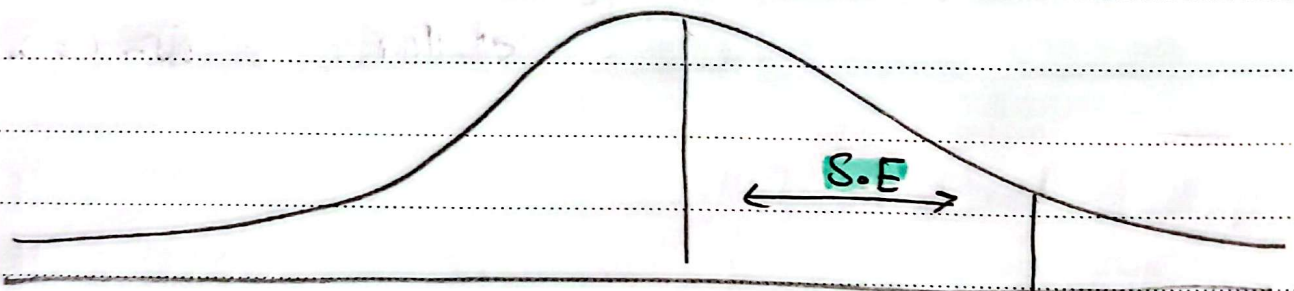
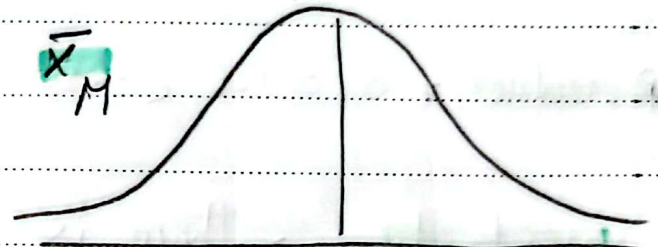
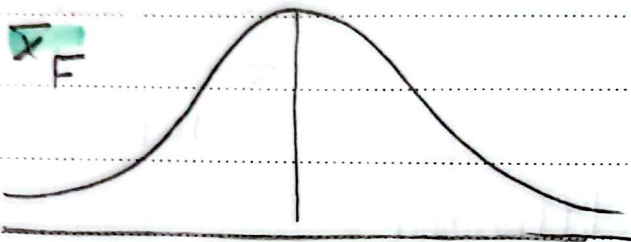
| gender | salary |               | Sal M | Sal F |
|--------|--------|---------------|-------|-------|
|        |        | $\rightarrow$ |       |       |

$M_{\text{Sal M}} = \square$  ,  $M_{\text{Sal F}} = \square$



$$M_{diff} = M_{sal F} - M_{sal M}$$

$$\bar{x}_{diff} = \bar{x}_F - \bar{x}_M$$



$M_{diff}$

$$\sigma_{diff}^2 = \sigma_{F_{samp}}^2 + \sigma_{M_{sam}}^2$$

$$S.E. = \sqrt{\frac{\sigma_F^2}{n} + \frac{\sigma_M^2}{n}} \leftarrow \text{population (saw } \text{بال} \text{ sam)}$$

$$CI = \bar{x}_{diff} \pm \underset{\substack{\downarrow \\ CL}}{t} * S.E.$$

$$H_0: \mu_{diff} = 0$$

$$H_1: \mu_{diff} \neq 0$$

$$t\text{-value} = \frac{\bar{x}_{diff} - 0}{S.E.}$$

t-critical

p-value

$$df = n_1 + n_2 - 2$$

Comparing 2 samples →  
proportions, Means →

Called A/B test

و فكرته كلها اني يكون عايرة  
المعرف في فرق بنية نتائج  
العينات وهل هو significant  
وللا.

proportion → Categorical

+ Categorical

Means → Categorical

+ Continuous

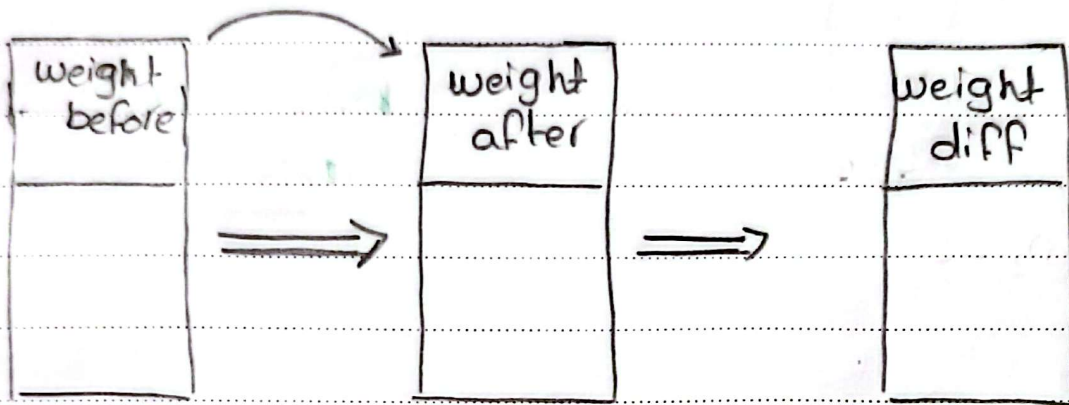
independent t-test

كل ما كان



## \* paired t-test :

Diet test



sample mean of new data

 $\bar{X} = -ve$  loss $\bar{X} = +ve$  not loss

$$H_0: \mu = 0$$

$$H_1: \mu < 0$$

1 sample t-test

$$dof = n - 1$$

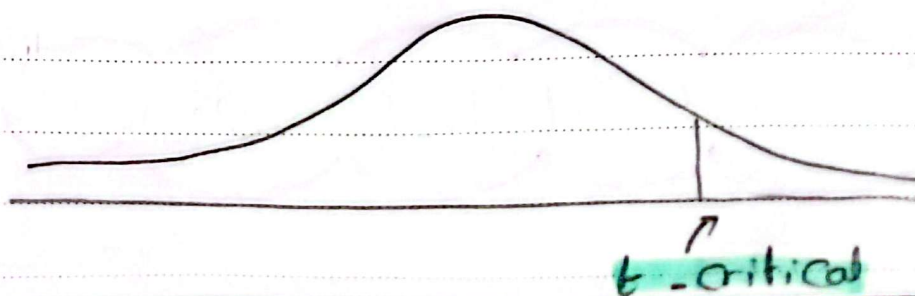
$$CL = 95\%$$

$$CI = \bar{X} \pm t * S.E$$

$$S.E = \frac{s}{\sqrt{n}}$$

$$\alpha = 0.05$$

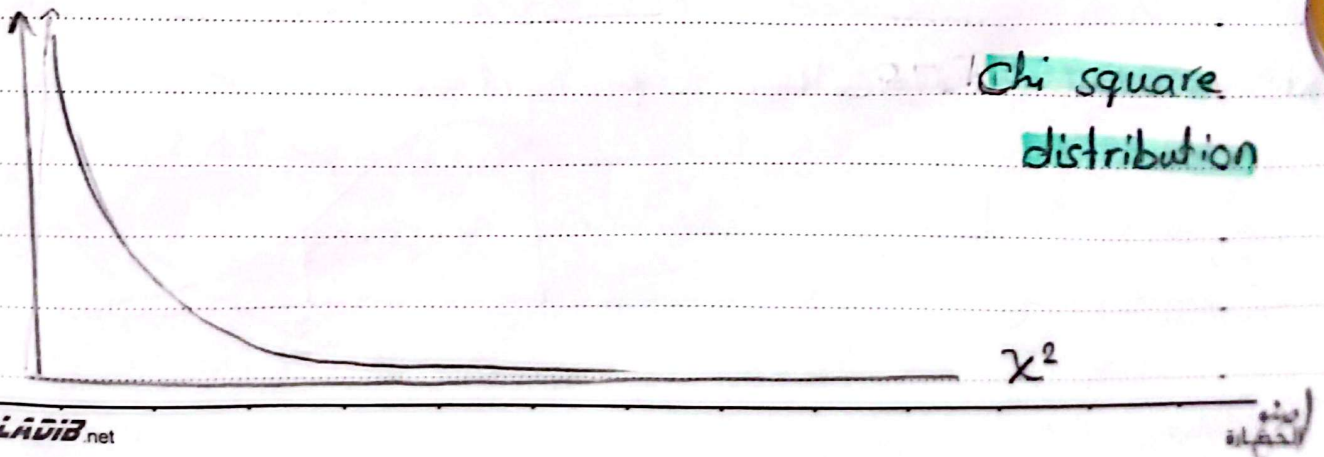
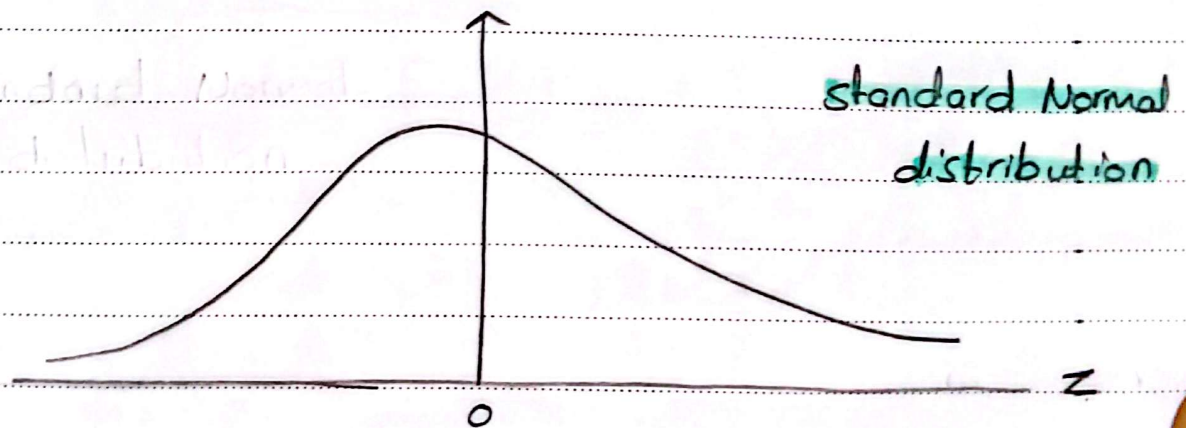
$$t\text{-Value} = \frac{\bar{X} - 0}{S.E}$$



### \* alternative:

- ① Two-tailed      لو انا مهنه  
بالتغير بضمن النظر عنه الاتجاه
- ② right      لو انا مهنه بالتغير  
يكونه +ve
- ③ left      لو انا مهنه بالتغير  
يكونه -ve

### \* Chi-square distribution:



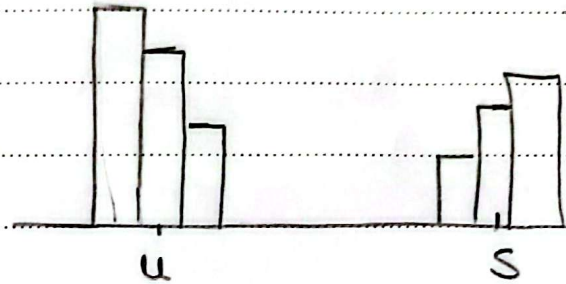




## \* Comparing more than 2 proportion:-

| p class | slu |
|---------|-----|
| 1       | 1   |
| 2       | 0   |
| 3       | 1   |
| 1       | 1   |
| 2       | 1   |
| 3       | 1   |

$$P_1 \neq P_2 \neq P_3$$



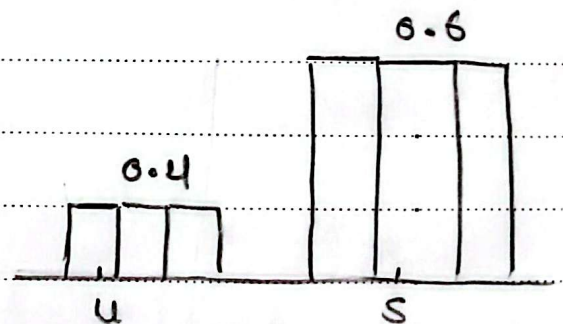
$H_0$ : No difference  $P_1 = P_2 = P_3$

• expected

$H_1$ : There's difference  $P_1 \neq P_2 \neq P_3$

• observed

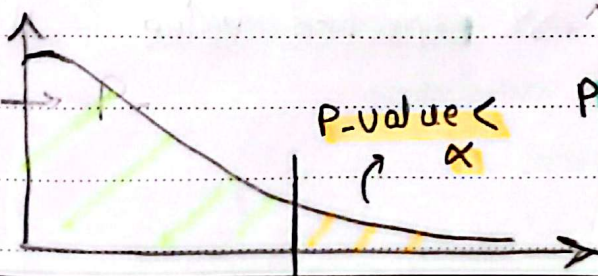
| Total |   | S       | u      |
|-------|---|---------|--------|
| 100   | 1 | 60 65   | 40 35  |
| 200   | 2 | 120 100 | 80 100 |
| 300   | 3 | 180 250 | 120 50 |



→ average diff =  $\frac{O - E}{K} \Rightarrow$  is statistically significant?

$$\rightarrow \chi^2 = \sum_{i=1}^n \frac{(O_i - E_i)^2}{E_i} = \frac{(65 - 60)^2}{60} + \frac{(120 - 100)^2}{100} + \frac{(250 - 180)^2}{180}$$

→ if:  $\chi^2 = 0 \Rightarrow O = E \Rightarrow p\text{-value} = 1$



كد ما الفرقه يكبر كد ما يوصل الى sig diff  
دفعه ينزل انه في

1. Chi. cdf(10)



• 2 proportions  $\rightarrow$  t-test  
or Chi square test

•  $> 2$  proportions  $\rightarrow$  Chi square test

• parametric test  $\rightarrow$  t-test

• Non-parametric test  $\rightarrow$   
Chi square test

الأفضل لو اقدر اتقن الاسمين يعني  
اختار ال param لأن ال ass يكون  
more accurate  $\leftarrow$  strict

\* assumptions :-

① random sample

②  $E(x) \geq 5$

ال expected value لازم تكون أكبر منه 5 في كل ال proportion



Day 8

## chi square test

independent chi  
square testgoodness of fit chi  
square test

هنا يكون عايزة انعرف هل ال data  
متفيدة على بعض ولا لا وبعرفها منه ال  
diff < لان لو في diff هيكون في التوزيع

 $H_0$ : No difference $H_1$ : There's a difference

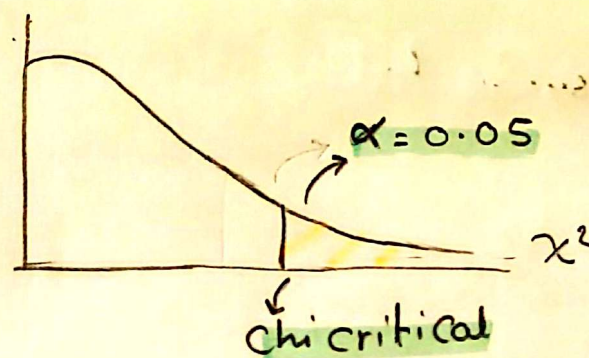
يكون في diff < لازم يكون كان  
statistically

هنا يكون عايزة انعرف هل ال data  
ديت بت follow ال dist التي انا  
صنفتها ولا لا < لو في فرق ممكن هيكونش

 $H_0$ : No difference $H_1$ : There's a difference

ولكن مش بس لازم  
significant

$$\chi^2 = \sum_{i=1}^n \frac{(O_i - E_i)^2}{E_i}$$

1 - chi.cdf( $\chi^2$ )

كل ما الفرد بيكبر يفرج منه  
rejection area لحد ما  $P\text{-value} < \alpha$  و بعد  
reject



### \* goodness of fit Chi square test :-

Six sided die fair

|           |     |     |     |     |     |     |
|-----------|-----|-----|-----|-----|-----|-----|
|           | 1/6 | 1/6 | 1/6 | 1/6 | 1/6 | 1/6 |
| side      | 1   | 2   | 3   | 4   | 5   | 6   |
| obs rolls | 22  | 23  | 24  | 25  | 24  | 32  |
| EX        | 25  | 25  | 25  | 25  | 25  | 25  |

150

$$\chi^2 = \sum_{i=1}^n \frac{(O - E)^2}{E} = \frac{(22-25)^2}{25} + \frac{(23-25)^2}{25} + \dots$$

$$\text{dof} = n - 1 = 5$$

$$p\text{-value} = 1 - \text{Chi.cdf}(\chi^2) = 0.767 > \alpha$$

not reject  $H_0 \rightarrow$  no diff

### \* independence Chi square test :-

| P.Class | Survived |
|---------|----------|
| 1       | 0        |
| 2       | 0        |
| 3       | 0        |
| ⋮       | ⋮        |

| P class  | 1      | 2      | 3      |
|----------|--------|--------|--------|
| Survived |        |        |        |
| 0        | 80     | 97     | 372    |
| Expected | 133.09 | 113.37 | 302.54 |
| 1        | 136    | 87     | 119    |
| Expected | 82.91  | 70.63  | 188.46 |

بمستویان اینهم independent  
و تفرد تطبیق داریم قانون  
ال joint prob 549

342

216

184

451

$$\text{Expected } (1, 0) = \left( \frac{549}{891} \times \frac{216}{891} \right) \times 891 = 133.09$$

class=1

unsurvived

$$\text{dof} = (n_1 - 1)(n_2 - 1) = 2 \times 1 = 2$$

لو عددی categories 3 یا 2 رقم منه ال categ

اقد، استخدم ال Chi square independ

بسن هیه منه اسمه ← Chi-square

homogeneity test



## \* Comparing more than 2 means :-

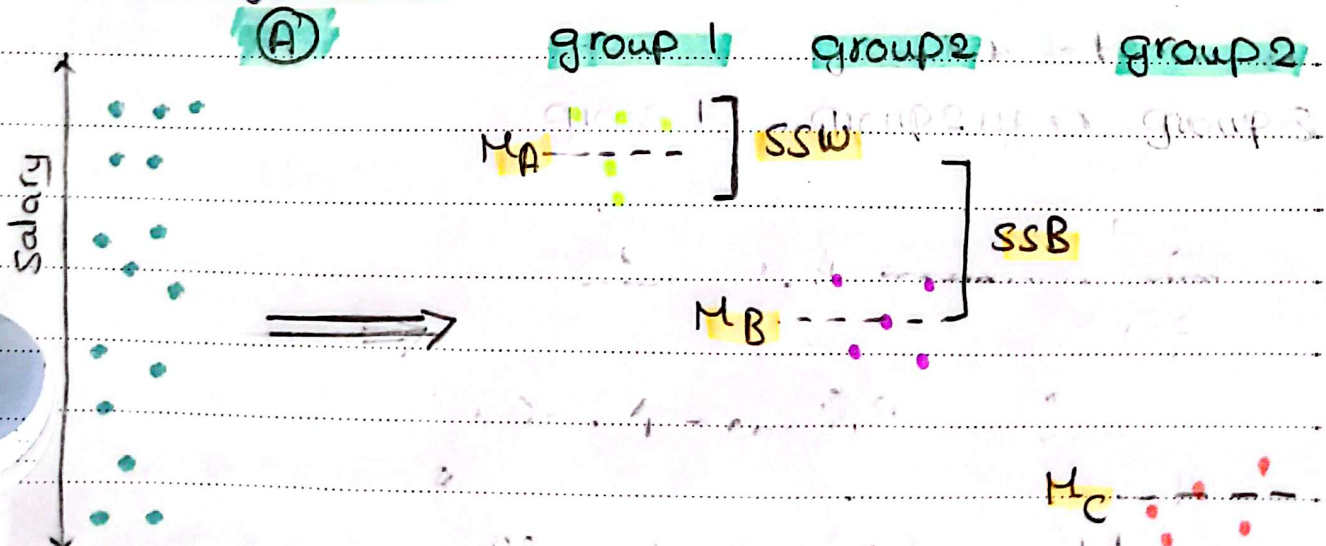
| dep | sal |   | A | B | C | D |
|-----|-----|---|---|---|---|---|
| A   | —   | ⇒ | — | — | — | — |
| B   | —   |   | — | — | — | — |
| C   | —   |   | — | — | — | — |
| D   | —   |   | — | — | — | — |

$\mu_A$   $\mu_B$   $\mu_C$   $\mu_D$

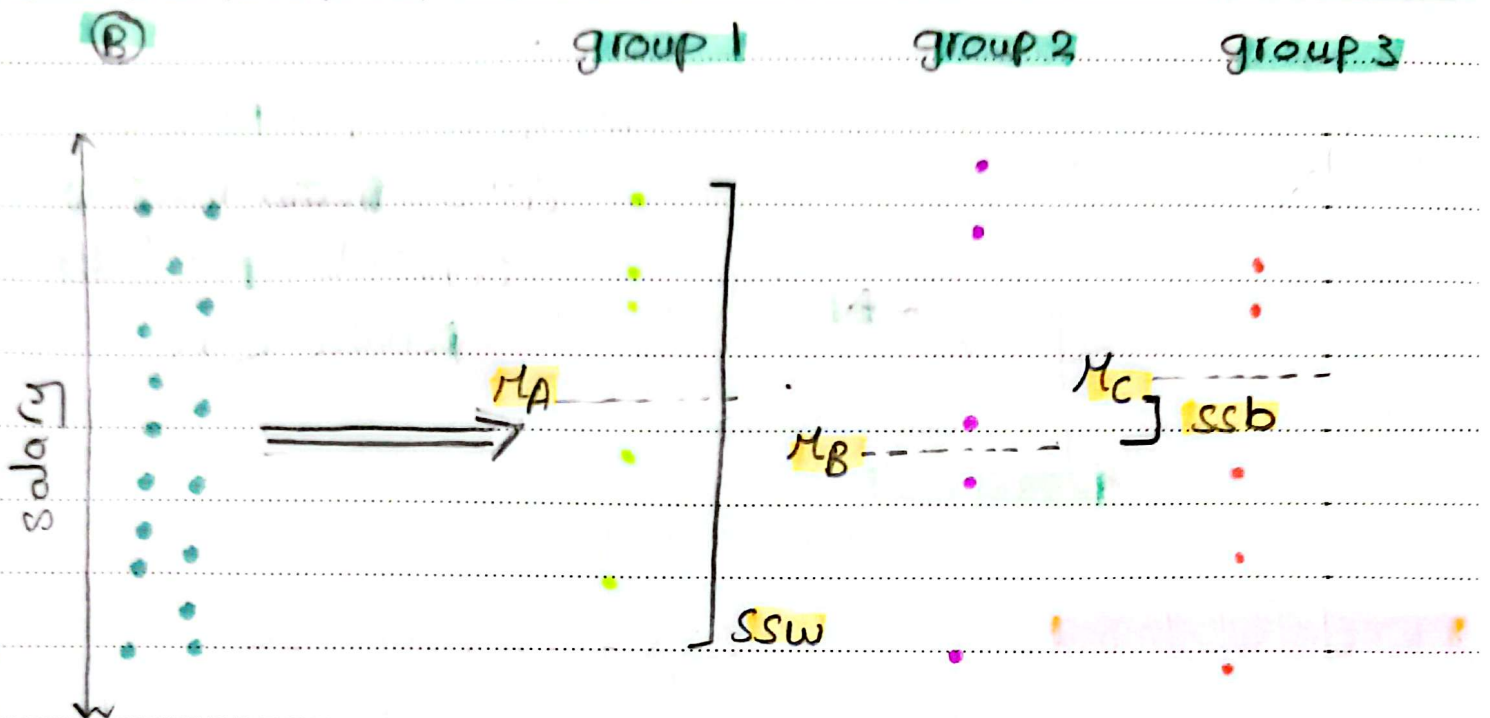


ANOVA (analysis of variance)

## \* one way ANOVA :-



- very high variance explanation by the groups
- variance between groups, variance within groups
- dependent variable



very little explanation of variance by the groups  
 variance between  $\mu_A$   $\mu_B$   $\mu_C$  variance within  $\mu_A$   $\mu_B$   $\mu_C$   
 independent

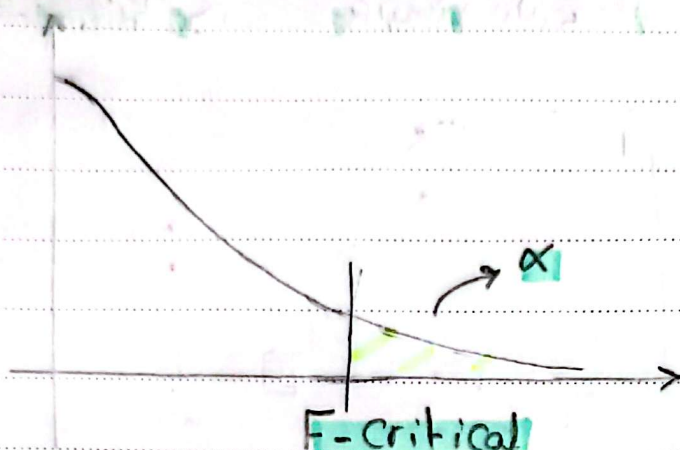
$H_0$  : No difference

$H_1$  : difference

$$F = \frac{SSB}{SSW} \xrightarrow{\text{large}} F\text{-statistic}$$

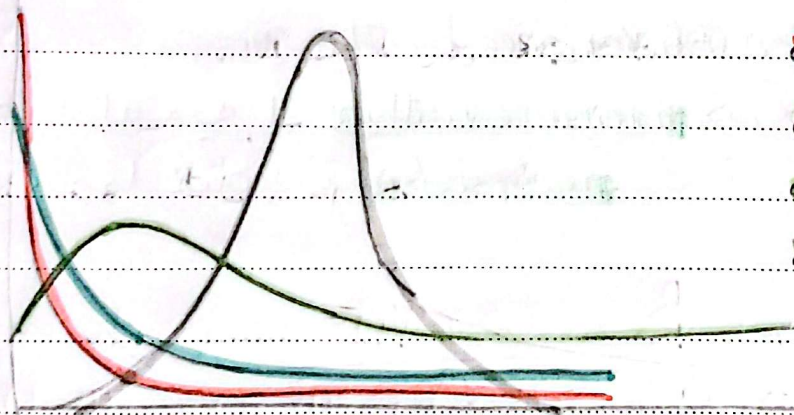
large  $\rightarrow$  SSB  $\uparrow$   $\rightarrow$  F  $\uparrow$   $\rightarrow$  reject  $H_0$   
 small  $\rightarrow$  SSW  $\uparrow$   $\rightarrow$  F  $\downarrow$   $\rightarrow$  not reject  $H_0$





كل ما  $F$  تكبر كلما تغير  $\alpha$   
 rejection region  
 reject  $H_0$  لما يكون:  
 $P\text{-value} < \alpha$

\* F-distribution:-



$$d_1 = 1, d_2 = 1$$

$$d_1 = 2, d_2 = 1$$

$$d_1 = 5, d_2 = 2$$

$$d_1 = 100, d_2 = 100$$

$$\frac{SSB}{SSW} = \frac{C}{C} \frac{\sum x^2}{\sum x^2} \quad ] \text{ Chi-square dist}$$

لذلك ان  $F\text{-dist}$  عبارة عن قسمة  $\chi^2$  Chi square  
 حسب ان  $dof$  لكل من  $\chi^2$   $dof$  كل ما ان  $dof$  يتزايد يتغير  
 الى  $normal\ dist$

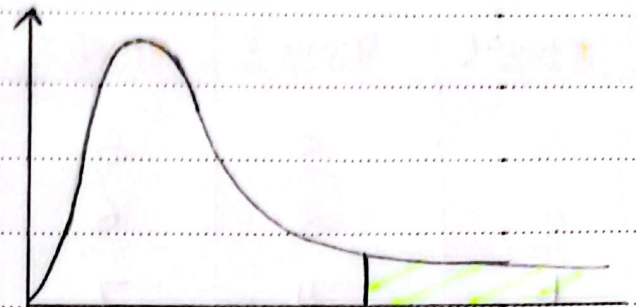
/ /

$\alpha = \square$

$d_2, d_1$

Significance level

في جدول لكل



F-Critical

### \* Types of ANOVA test:-

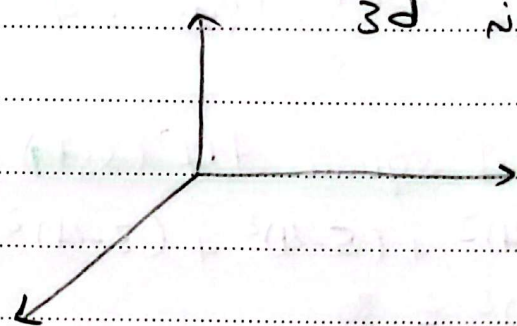
① One way Factor without repeated measures

يعني سيكون في Cat var واحد اللي يقارنه بيه

② Two way Factor without repeated measures

يكون عندي اكثر من Cat var يقارنهم  
فيكون له 3

| gen | P-class | Age |
|-----|---------|-----|
| M   | 1       | —   |
| M   | 2       | —   |
| F   | 3       | —   |
| ... | ...     | ... |



③ one way Factor with repeated measures

يكونه في dep يعني يقارنه نفس الكاج في diff point of time

④ Two way Factor with repeated measures

نفس الفكرة ب يكونه في dep يعني يقارنه نفس الكاج في وقت مختلف

← عندي graphs متباين الشوف اد var زي اد striplot و box plot



\* example:- 3 groups are main independent variables

| group1 | group2 | group3 |
|--------|--------|--------|
| 3      | 5      | 5      |
| 2      | 3      | 6      |
| 1      | 4      | 7      |

one way ANOVA

• grand mean ( $\bar{x}$ ) =  $\frac{3+2+1+5+3+4+5+6+7}{9} = 4$

•  $\bar{x}_{G1} = 2$  ,  $\bar{x}_{G2} = 4$  ,  $\bar{x}_{G3} = 6$

•  $\bar{x} = \frac{\bar{x}_{G1} + \bar{x}_{G2} + \bar{x}_{G3}}{3} = 4$

mean of pop =  
mean of means

• sum of square diff (SST) =  $\sum_{i=1}^n (x_i - \bar{x})^2 = (3-4)^2 + (2-4)^2 + (1-4)^2 + (5-4)^2 + (3-4)^2 + (4-4)^2 + (4-5)^2 + (6-4)^2 + (7-4)^2 = 30$

Var =  $\frac{SST}{N-1}$

• the variation within the groups (SSW) =  $\sum_{j=1}^m \sum_{i=1}^k (x_{ij} - \bar{x}_{G_m})^2$

هنا يكون عبارة عن الفرق بين كل point عن  $\bar{x}_G$  و  $\bar{x}_{G_m}$

• dof =  $m * (k-1)$

# of groups

# of data points

• dof =  $N - m$

بعضه لعدد الـ data  
داخل كل group



the variation between groups (SSB) =  $\sum_{j=1}^m k * (\bar{x}_{Gm} - \bar{x})^2$

هنا يكون عايره اعرف بعد كل نقطة عنه الى grand mean

dof = m-1

• SST = 30

• dof = 8

• SSW = 6

• dof = 6

• SS B = 24

• dof = 2

• SST = SSW + SS B (for dof)

8 = 6 + 2

• F-score =  $\frac{SSB (dof_{SSB})}{SSW (dof_{SSW})}$

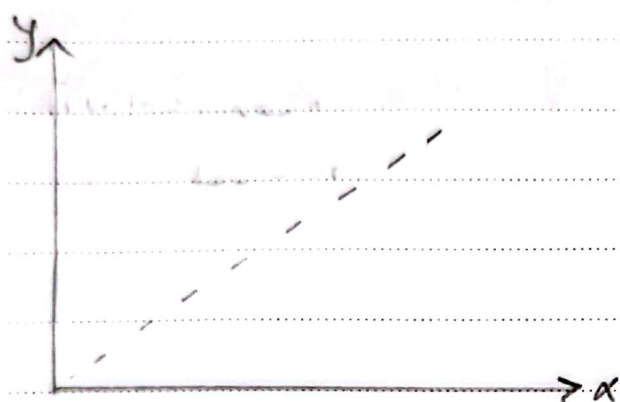
\*Correlation:-

| Area | Price |
|------|-------|
|      |       |
|      |       |
|      |       |

To quantify relation bet  
2 categorical variables →  
Correlation

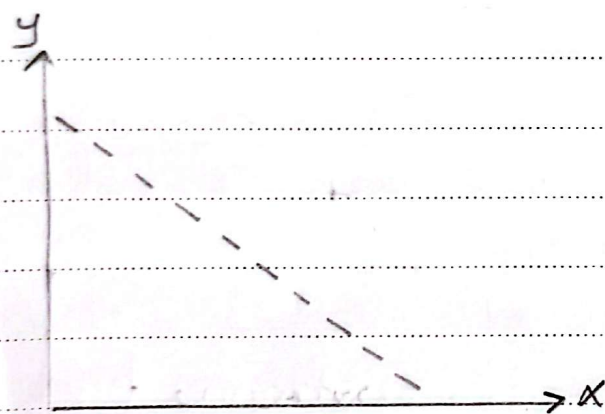


Covariance  $\rightarrow$  only captures the linear relationship



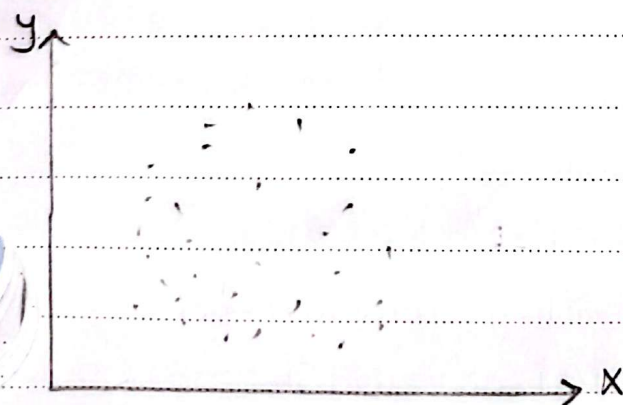
large positive Covariance

$x \uparrow$   $y \uparrow$



large negative Covariance

$x \uparrow$   $y \downarrow$

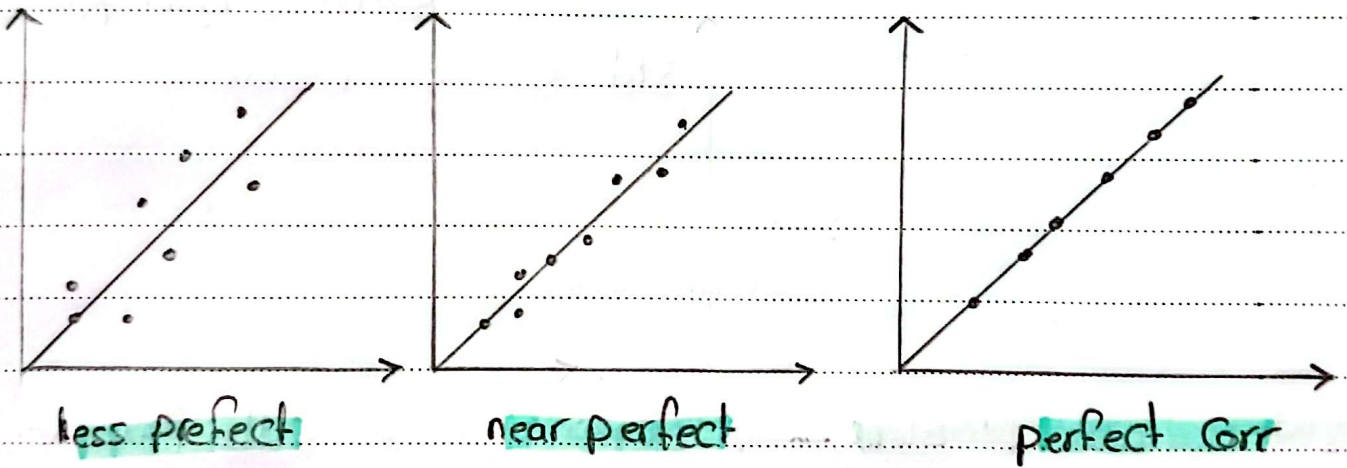


Near zero Covariance

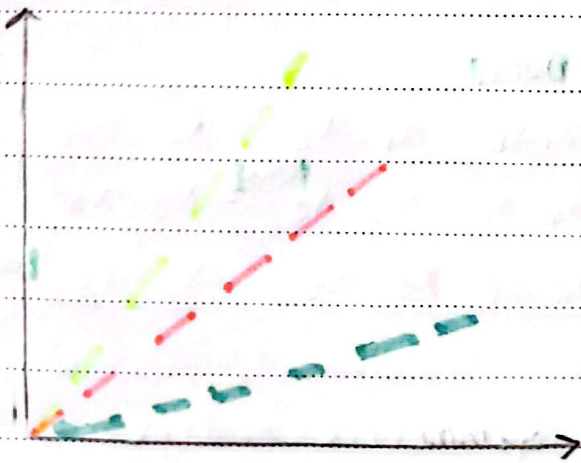
- +ve, -ve Cov  $\rightarrow$  linear relationship
- 0 Cov  $\rightarrow$  No linear //

The Covariance  $Cov(X, Y) = \frac{1}{n-1} \sum_{i=1}^n (x_i - \bar{x})(y_i - \bar{y})$

Correlation Coefficient =  $\frac{Cov(X, Y)}{S_x S_y}$   
 (standardized form of Covariance) =  $[-1, 1]$   
 -ve rel  $\leftarrow$   $\downarrow$   $\rightarrow$  +ve rel  
 o (no rel)



كده ما التقت تعرب منه الخط كده ما العلاقة، بيقي طريبيه منه  $+1$



$r=1$

$r=1$

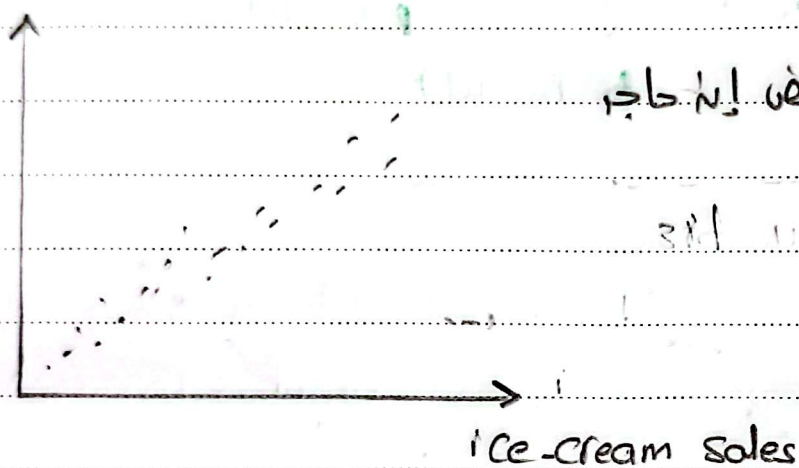
$r=1$

لذلك ال Corr مش بغيرنا مقدار  
 التخمين ف بستخدم ال regression



## Correlation doesn't mean Causation

Temp ↑  
 ice-cream Sales ↑  
 flights ↑



3rd variable problem → في كثير من الحالات هو السبب الكفيل  
 وعشوائية أو صدفة أو حاجة لكل دلائل لفرضية بطله

### \* Covariance matrices:-

| $x_1$ | $x_2$ | $x_3$ |
|-------|-------|-------|
|       |       |       |
|       |       |       |
|       |       |       |

| $Var_{x_1}$ | $x_1, x_2$  | $x_1, x_3$  |
|-------------|-------------|-------------|
| $x_2, x_1$  | $Var_{x_2}$ | $x_2, x_3$  |
| $x_3, x_1$  | $x_3, x_2$  | $Var_{x_3}$ |

Symmetric matrix

### \* Correlation matrix:

|   | X                  | Y                  | Z                  |
|---|--------------------|--------------------|--------------------|
| X | 1                  | Corr <sub>xy</sub> | Corr <sub>xz</sub> |
| Y | Corr <sub>xy</sub> | 1                  | Corr <sub>yz</sub> |
| Z | Corr <sub>xz</sub> | Corr <sub>yz</sub> | 1                  |

Symmetric matrix

### \* Correlation significance test:-

$$H_0: \rho = 0$$

$$H_1: \rho \neq 0$$

$$\text{dof} = n - 2$$

$$t = \frac{r}{\text{S.E}} = \frac{r \rightarrow \text{Correlation Coefficient}}{\sqrt{\frac{1-r^2}{n-2}}}$$

t-statistic > t-Critical  $\rightarrow$  p-value <  $\alpha$

$\downarrow$  reject  $H_0 \rightarrow$  There's significant correlation

### \* Note:-

- Correlation  $\rightarrow$  var + it self  $\rightarrow$  variance
- var1 + var2  $\rightarrow$  Covariance
- variance special case  $\rightarrow$  Covariance